Middle East Weekly Review

November 2 to November 8, 2026

- **Week in brief:** The US midterms handed Democrats Congress and Brent fell 13.3% on the week to $98.32 (January contract), while limited US strikes on Qeshm and Qatari mediation ran in parallel, and the KOSPI fell 11.7% to 5,059.69 in a chip and foreign flow rout that forced Seoul into its first stabilization step.

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1. The Week's Arc

The week opened with the pre-election gamble: Brent fell 7.6% on November 2 on diplomacy hopes, the US struck near Qeshm that night after an IRGC attack on a US aircraft, and Netanyahu pressed Trump for a post-midterm campaign. The November 3 midterms then produced a Democratic sweep, which markets and Tehran both read as pressure on Trump to settle: Brent dropped about 9% on November 4, Israel certified its 53/48/19 result, and Pezeshkian said Khamenei had given the government new authority to negotiate while Khamenei warned the war would widen. What changed structurally versus last week is that the question moved from "will talks happen" to "will a Qatari-run channel produce a text": Iran says it reviews Qatari proposals but keeps its seven conditions, Trump alternates between "destroy the rest of Iran" and "a lot of progress," and the November 6 Qeshm strike showed that limited force is being used without ending the channel.

At sea, IRGC claims of tankers hitting mines on "unauthorised" routes continued (four on October 31, two on November 6) without CENTCOM, UKMTO or JMIC confirmation, and no exact Hormuz transit count was published all week. The Houthi front stayed active against Saudi Arabia, ending with claims of strikes on Riyadh's airport and Aramco sites on November 7 that Riyadh did not confirm. Saudi Arabia and the UAE meanwhile restored exports toward prewar levels, which is why oil fell harder than the shipping incidents alone would suggest.

In Korea the week was dominated by markets rather than energy. The KOSPI fell from 5,859.08 on Monday to 5,059.69 on Friday, with a 6.02% fall and a circuit breaker on November 6 (intraday low 4,911.28) driven by US chip stocks, AI regulation fears and six straight sessions of foreign selling; the F4 heads met two days running and waived the margin loan collateral rule for three months from November 9.

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2. Indicator Scoreboard

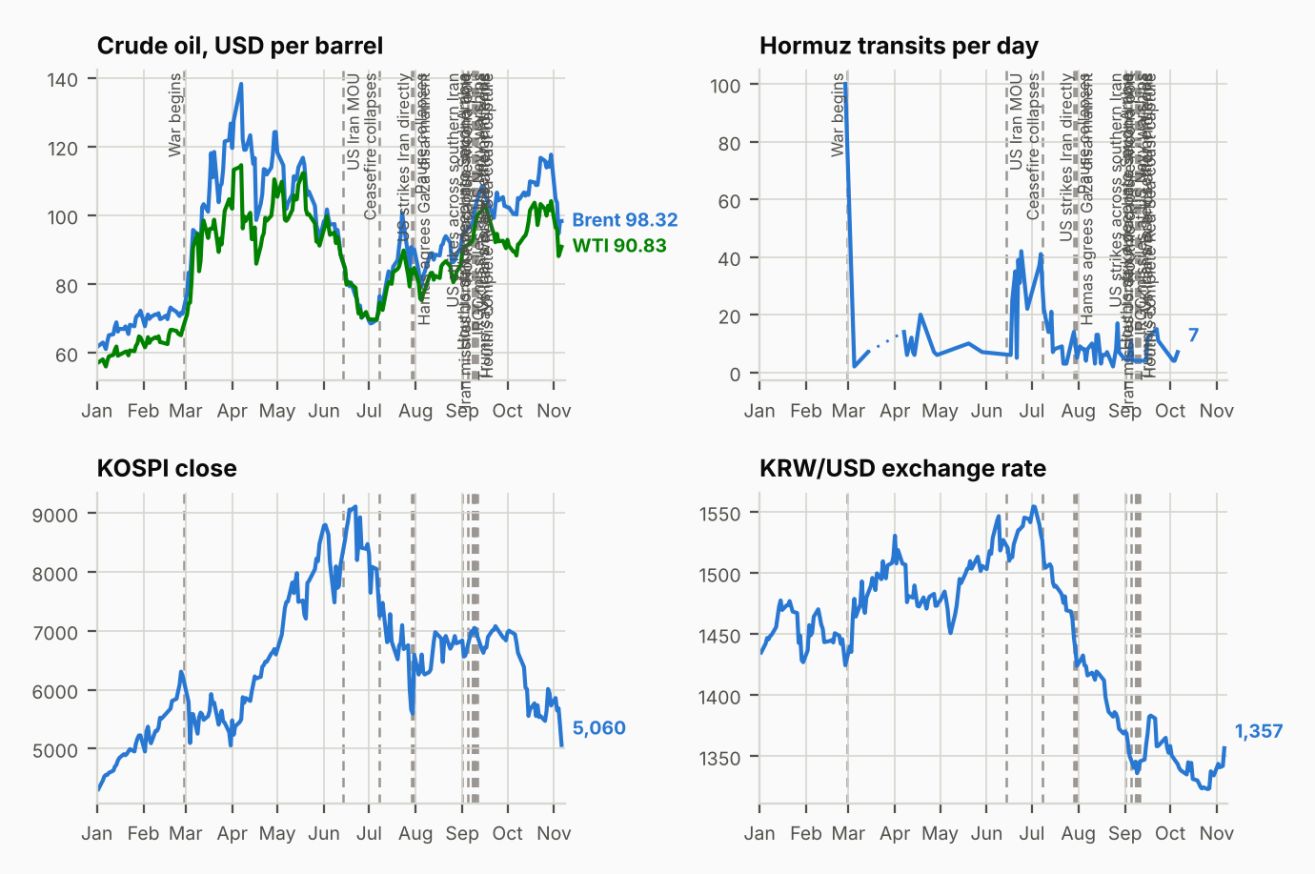
21 indicators were opened this week (IND-20261102-1 through IND-20261108-3) and 26 were resolved during it: **12 confirmed**, **9 falsified** and **5 expired**. Confirmed include the Qeshm strikes (IND-20261102-1, IND-20261105-1), the KOSPI below 5,200 (IND-20261106-2) and the margin waiver (IND-20261107-2). Falsified include the Brent $110 and $120 bands, KOSPI above 6,000, and the Sinokor and Hormuz 70 vessel count calls. **17 indicators remain open**; the nearest deadline is IND-20261108-2 (KOSPI above 5,059.69 on November 9), then five on November 10 (framework, strike beyond Hormuz defences, "day one" measures, Herzog mandate, Egyptian deployment), and the longest are IND-20261023-1 (Bank of Korea November hike) and IND-20260910-3 (Trump's "war ends after the election," November 17). IND-20260714-4 (Qatari LNG loadings) is still open with no deadline and no fresh weekly figure.

Calibration note: Price level calls were wrong in both directions for a second week: Brent bands above $110 failed because oil fell 13%, and the KOSPI 6,000 call failed because the index fell below 5,100. The calls on US military

behavior held (limited strikes happened), but the ones requiring a signed diplomatic outcome keep expiring or falsifying. I also missed Seoul's November 6 margin waiver in the November 7 brief because I searched English-language wires only; Korean-language search should be a first step on any Korean policy indicator.

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3. Data Trends



Brent settled at $104.77 (Nov 2), $103.60, $94.62, $98.29 and $98.32 (Nov 6), down 13.3% from $113.43 on the January contract on October 30 (the expiring December contract settled $117.64). WTI settled at $96.46, $96.09, $88.12 and $90.83 (the November 5 settle was not found), down about 12.8% from $104.12. The Brent-WTI spread narrowed to about $7.5 from $13.5, partly because the contracts differ in month and the Brent drop was larger early in the week. The KOSPI closed at 5,859.08, 5,648.79, 5,683.80, 5,383.80 and 5,059.69, down 11.7% from 5,730.74 and the lowest close since early April, and the won weakened to 1,356.6 per dollar from 1,334.3 (1.7%), with most of the move on Friday. Hormuz: no exact daily count was found all week.

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4. Slow Threads

- **Qatari LNG loadings (IND-20260714-4):** still no fresh weekly figure.
- **Sinokor and Iran's strait authority:** the November 1 deadline passed with no confirmed action found, but the authority's list of "violating" ships keeps growing.
- **Israeli government formation (IND-20261028-2):** the Knesset is sworn in November 10; Herzog's mandate follows.
- **Saudi infrastructure under Houthi attack (IND-20261108-1):** claims are frequent, confirmations rare.

- **Egypt’s deployment to Saudi Arabia (IND-20261027-1):** authorized October 26, still no confirmed arrival.
- **Trump’s end of Israel aid by end 2026:** stated November 3 on Fox News, no follow up found.

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5. Revisions and Lessons

No material correction to `instructions/korea-exposure.md` was needed. Two corrections ran in the November 8 daily: the missed margin waiver and the Friday oil settles ($98.32 Brent, $90.83 WTI). Lessons: for Korean policy, check Korean outlets first; a Friday settle missed on a weekend run is recoverable from Rigzone or CNBC the next day, so the weekend runs should start there; the Brent weekly fall is 13.2% on the active January contract but 16% on other bases, so any weekly percentage should name its contract; and IRGC mine claims stay at Low confidence until an independent maritime body confirms them.